# Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

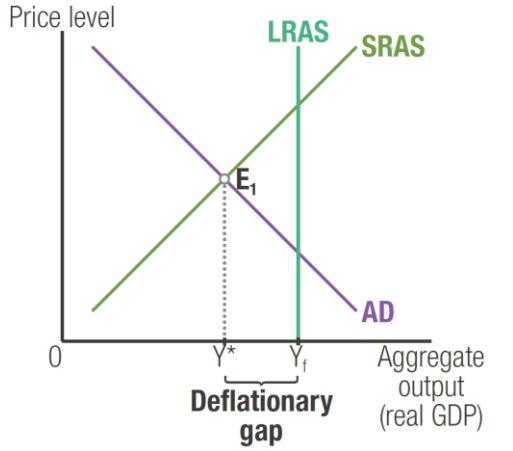
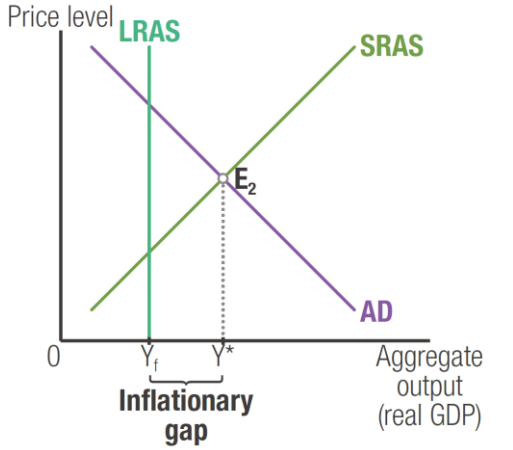
## 18.1 Macroeconomic Equilibrium

### Short run and long run macroeconomic equilibria

| Short run macroeconomic equilibrium | Long run macroeconomic equilibrium |
|---|---|
| - It refers to the situation in which the total quantity of output demanded of an economy is equal to its total quantity of output supplied in the short run.<br>- It is found where the AD curve intersects the SRAS curve. | - It refers to the situation in which the total quantity of output demanded of an economy is equal to its total quantity of output supplied (i.e. full-employment output level) in the long run.<br>- It is found where the AD curve intersects the LRAS curve. |

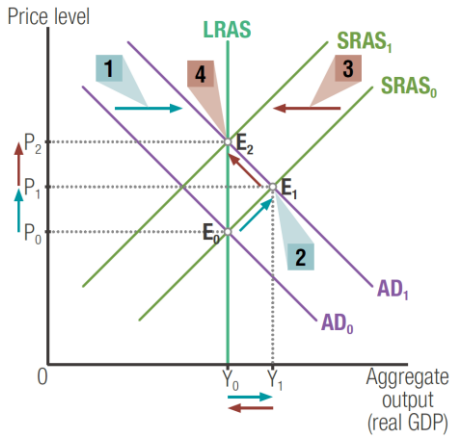
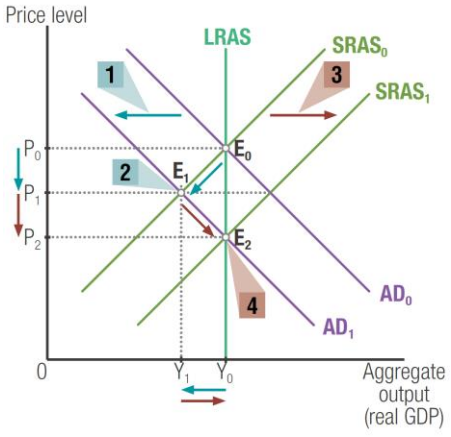
When an economy attains long run macroeconomic equilibrium, it must also be at the short run macroeconomic equilibrium.

### Deviations of short run equilibrium from long run equilibrium

| Deflationary gap | Inflationary gap |
|---|---|
|  |  |
| - It is the difference by which the short run equilibrium output level falls below the full-employment output level.<br>- **There is an excess supply in the factor market.** | - It is the difference by which the short run equilibrium output level is in excess of the full-employment output level.<br>- **There is an excess demand in the factor market.** |

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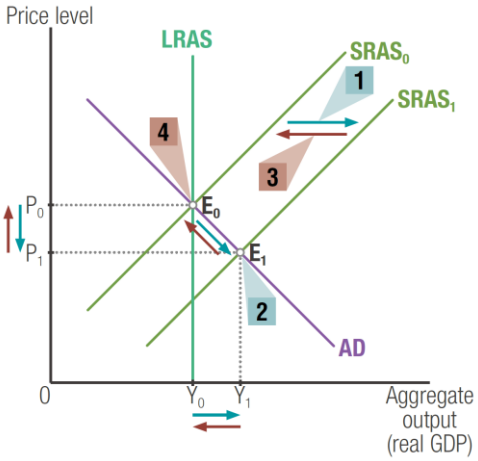
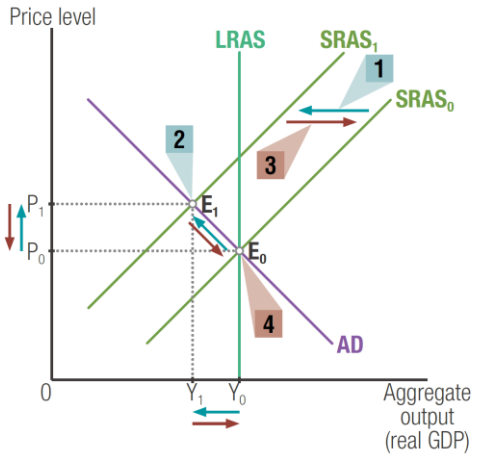
# 18.2 Effects of Changes in Aggregate Demand on the Equilibrium Output and Price Levels

| Increase in aggregate demand | Decrease in aggregate demand |
|---|---|
|  |  |
| **Short run effect ($E_0$ to $E_1$):**<br>- Aggregate demand increases.<br>- The price level increases.<br>- The output level increases.<br>- There is an **inflationary gap**. | **Short run effect ($E_0$ to $E_1$):**<br>- Aggregate demand decreases.<br>- The price level decreases.<br>- The output level decreases.<br>- There is a **deflationary gap**. |
| **Long run effect ($E_1$ to $E_2$):**<br>- An **excess demand in the factor market** will result in an **upward pressure on input prices**.<br>- **The cost of production will increase.**<br>- Short run aggregate supply will decrease.<br>- **The price level will increase further.**<br>- The output level **will return to the full-employment output level.** | **Long run effect ($E_1$ to $E_2$):**<br>- An **excess supply in the factor market** will result in a **downward pressure on input prices**.<br>- **The cost of production will decrease.**<br>- Short run aggregate supply will increase.<br>- **The price level will decrease further.**<br>- The output level **will return to the full-employment output level.** |

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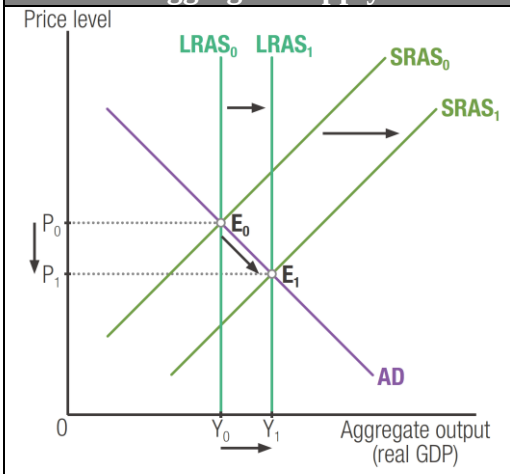
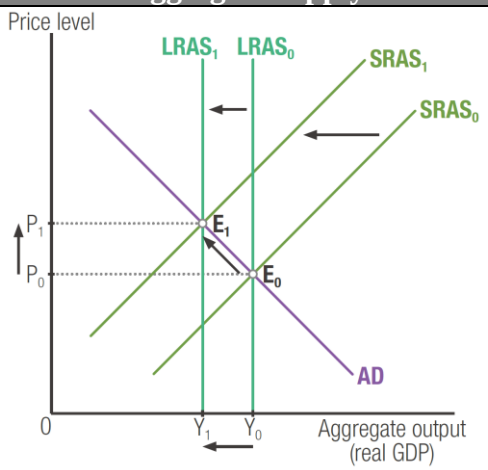
# 18.3 Effects of Changes in Aggregate Supply on the Equilibrium Output and Price Levels

## Changes in short run aggregate supply

| Increase in short run aggregate supply | Decrease in short run aggregate supply |
|---|---|
|  |  |
| **Short run effect ($E_0$ to $E_1$):**<br>- Short run aggregate supply increases.<br>- The price level decreases.<br>- The output level increases.<br>- There is an **inflationary gap**. | **Short run effect ($E_0$ to $E_1$):**<br>- Short run aggregate supply decreases.<br>- The price level increases.<br>- The output level decreases.<br>- There is a **deflationary gap**. |
| **Long run effect ($E_1$ to $E_0$):**<br>- An **excess demand in the factor market** will result in an **upward pressure on input prices**.<br>- **The cost of production will increase.**<br>- Short run aggregate supply will decrease.<br>- **The price level will return to its original level.**<br>- The output level **will return to the full-employment output level.** | **Long run effect ($E_1$ to $E_0$):**<br>- An **excess supply in the factor market** will result in a **downward pressure on input prices**.<br>- **The cost of production will decrease.**<br>- Short run aggregate supply will increase.<br>- **The price level will return to its original level.**<br>- The output level **will return to the full-employment output level.** |

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## Changes in long run aggregate supply

| Increase in long run aggregate supply | Decrease in long run aggregate supply |
|---|---|
|  |  |
| - Long run aggregate supply increases.<br>- Short run aggregate supply also increases.<br>- **The price level decreases**.<br>- **The output level increases**. | - Long run aggregate supply decreases.<br>- Short run aggregate supply also decreases.<br>- **The price level increases**.<br>- **The output level decreases**. |

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